



Sampath Bank
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SAMPATH BANK PLC

**Interim Financial Statements
for the period ended 30th June 2024
(In terms of Rule 7.4 of the Colombo Stock Exchange)**

FINANCIAL COMMENTARY FOR THE SIX MONTHS ENDED 30TH JUNE 2024

Financial Performance

Sampath Bank registered a profit before tax (PBT) of Rs 18.5 Bn and a profit after tax (PAT) of Rs 11.1 Bn for 1H 2024 reflecting growth rates of 40% and 45% respectively compared to the corresponding period of the previous year. The Sampath Group also reported PBT and PAT figures of Rs 19.7 Bn and Rs 11.9 Bn respectively, reflecting growth rates of 47% and 55%.

Key financial highlights for 1H 2024

- 20.3% growth in Net Interest Income (NII).
- Decrease in net fee and commission income by 10.9% due to a decline in income from trade-related operations.
- An exchange loss of Rs 2.7 Bn due to the appreciation of the LKR against the USD by Rs 17.85.
- 14.6% decline in impairment charges.
- Growth in LKR loan book by Rs 33 Bn.
- Strong growth in the LKR deposit portfolio, amounting to Rs 115 Bn.
- Tier 1 and Total Capital Adequacy Ratios at 16.98% and 19.96% respectively, comfortably exceeding regulatory minimum requirements.

Fund based income

During the first half of 2024, the Bank reported a total interest income of Rs 95 Bn, a 5.7% decline from the same period of the previous year, primarily attributable to a decreasing AWPLR. The continuous decline in market interest rates resulted in the interest expense for the period decreasing from Rs 67 Bn in 1H 2023 to Rs 54 Bn in 1H 2024. This substantial decrease in interest expense, outpacing the decline in interest income, resulted in a notable 20.3% increase in Net Interest Income (NII), reaching Rs 41 Bn for 1H 2024.

The Bank's strategic management of assets and liabilities significantly contributed to the impressive growth in Net Interest Income (NII), particularly in the context of declining interest rates. The Net Interest Margin (NIM) experienced a slight increase, rising from 5.16% as of 31st December 2023, to 5.18% as of the reporting date.

Non-Fund based income

In 1H 2024, the Bank's Net fee and commission income amounted to Rs 8.7 Bn, reflecting a 11% decline compared to the previous period, primarily due to reduced income from trade-related activities. The decrease in trade-related income is mainly attributed to reduced commission rates on import transactions and the impact of LKR appreciation. However, fees generated from other channels, including credit, electronic, cards and remittance-related activities, showed growth compared to the same period of the previous year.

In 1H 2024, the Bank reported a net trading loss of Rs 2.4 Bn, compared to a gain of Rs 1.7 Bn in the previous period. This was primarily due to revaluation losses incurred on forward exchange contracts. Conversely, Net other operating income for the period stood at Rs 151 Mn, a significant improvement compared to the loss of Rs 5.1 Bn in the previous period. This improvement was largely driven by a decrease in exchange losses as the LKR appreciated at a lower rate of 5.5% during the reporting period, compared to a 15.8% appreciation in 1H 2023.

Impairment Charge

The Bank recorded a total impairment charge of Rs 6.2 Bn for the first half of 2024, 14.6% less than the charge for the 1H 2023. Of this total, Rs 3.7 Bn was attributed to loans and advances (1H 2023: Rs 8.7 Bn), while Rs 1.0 Bn was related to other financial instruments (1H 2023: a reversal of Rs 1.4 Bn). Additionally, an impairment charge of Rs 1.5 Bn was recorded against credit-related commitments and contingencies (1H 2023: a reversal of Rs 66 Mn).

Impairment charge on loans and advances

During the reporting period, the Bank experienced a 58% decrease in the impairment charge on loans and advances. This improvement reflects the prudent provisioning policies applied in previous years, as well as the resurgence of economic activities, which has enhanced the repayment capacity of the customers. The Bank, through its Business Revival Unit, continued to extend support to stressed borrowers by providing a range of measures to assist and revive businesses. These measures are customized based on the circumstances leading to their situation, as well as the industries and markets in which they operate. This support has benefited and continues to benefit many borrowers by helping them revitalize their businesses and improve their credit profiles.

As of 30th June 2024, the Bank conducted an extensive evaluation of its individually significant customers (ISL) and allocated adequate provisions in the Financial Statements to address the unique risk profiles associated with each of these customers. During the reporting period, the Bank reported a reversal in collective impairment, reflecting the economic revival of the country and the consequent enhancements in customers' credit quality. Despite the substantial progress observed in the tourism sector, the Bank continues to categorize facilities within this sector as elevated risk under Stage 2 until full stabilization is achieved. Furthermore, the Bank continued to maintain allowances for overlays for customer segments still carrying an increased credit risk. The basic impairment models used for collective impairment in 2023 remained unchanged, ensuring sufficient buffers to mitigate potential future credit risks.

Impairment charge on other financial instruments

The Bank recorded a net impairment charge of Rs 1.0 Bn against other financial instruments during the period, primarily due to the recognition of an additional charge against Sri Lanka International Sovereign Bonds (SLISB) in 1Q 2024. Given the government's announcement on the updated terms for the restructured SLISBs, we are confident that there is no need to recognise additional charges, as the Bank has sufficiently provided for all anticipated losses and contingencies.

Operating Expenses

During the reporting period, operating expenses increased by 11.2% compared to the corresponding period in 2023. The rise in personnel costs by 22.5% was primarily due to annual salary increments. The Bank's cost-to-income ratio improved by 230 basis points, decreasing from 39.8% in 1H 2023 to 37.5% in 1H 2024. This improvement can be attributed to growth in operating income outpacing the increase in operating expenses during the period.

Taxation

The Bank's total effective tax rate decreased to 53.8% in the first half of 2024, down from 55.9% reported in the corresponding period in 2023.

Key Ratios

As of 30th June 2024, the Return on Average Shareholders' Equity (after tax) increased to 14.9%, up from 12.7% as of 31st December 2023. Similarly, the Return on Average Assets (before tax) stood at 2.3% as of 30th June 2024, compared to 2.1% reported at the end of 2023.

Capital and Liquidity

During the reporting period, Sampath Bank maintained all its capital and liquidity ratios comfortably above regulatory minimum requirements. As of 30th June 2024, the Bank's CET 1, Tier 1, and Total capital ratios were 16.98%, 16.98%, and 19.96%, respectively, compared to 16.35%, 16.35%, and 19.56% at the end of 2023.

Similarly, the Bank's liquidity levels remained robust and comfortably above regulatory minimum requirements, with all currency Liquidity Coverage Ratio at 299.48% and Net Stable Funding Ratio at 195.48% as at 30th June 2024, compared to 312.47% and 184.20% at the end of 2023.

Assets

As of 30th June 2024, the Bank's asset base expanded by 6.4%, representing an annualized growth of 12.9%, reaching Rs 1.64 Tn. This growth was fueled by increased investments in Government debt securities and the expansion of the loan portfolio. Investments in LKR T-bonds increased by Rs 116 Bn, while holdings in US Treasuries grew by Rs 22 Bn (equivalent to USD 78 Mn) during the period. Total gross loans increased by Rs 31 Bn, from Rs 877 Bn as of 31st December 2023 to Rs 908 Bn by the end of June 2024. LKR-denominated loans increased by Rs 33 Bn, while foreign currency loans declined by Rs 2 Bn due to the appreciation of the LKR against the USD during the period.

Liabilities

Total liabilities increased by 6.7% (annualized growth of 13.5%), primarily due to the expansion of the Bank's total deposit portfolio by Rs 89 Bn, from Rs 1,264.5 Bn at the end of 2023 to Rs 1,353.2 Bn as of 30th June 2024. LKR deposits grew by Rs 115 Bn, while FCY deposits decreased by Rs 26 Bn during the period. The CASA ratio stood at 33.1% at the end of 1H 2024, slightly lower than the 33.4% reported at the end of 2023.

External Rating

On 22nd July 2024, Fitch Ratings Lanka Limited affirmed Sampath Bank's National Long-Term Rating at “A(lka)” with a Stable outlook. Fitch also affirmed the “BBB+(lka)” rating for the Bank's outstanding Basel III compliant subordinated debentures.

STATEMENT OF PROFIT OR LOSS

	Bank						Group					
	For the six months ended 30th June			For the quarter ended 30th June			For the six months ended 30th June			For the quarter ended 30th June		
	2024	2023	Change	2024	2023	Change	2024	2023	Change	2024	2023	Change
	(Audited) Rs 000	(Audited) Rs 000	%	Rs 000	Rs 000	%	Rs 000	Rs 000	%	Rs 000	Rs 000	%
Gross income	104,463,540	109,211,604	(4.3)	53,835,187	55,312,437	(2.7)	109,805,130	113,874,087	(3.6)	56,421,501	57,544,607	(2.0)
Interest income	94,997,189	100,785,624	(5.7)	46,251,331	50,564,185	(8.5)	99,526,180	105,018,000	(5.2)	48,484,186	52,696,701	(8.0)
Less: Interest expense	53,853,644	66,587,590	(19.1)	25,560,712	34,508,954	(25.9)	56,120,936	69,591,092	(19.4)	26,641,963	36,064,502	(26.1)
Net interest income	41,143,545	34,198,034	20.3	20,690,619	16,055,231	28.9	43,405,244	35,426,908	22.5	21,842,223	16,632,199	31.3
Fee & commission income	10,993,056	11,515,234	(4.5)	5,322,126	5,212,815	2.1	11,287,845	11,826,722	(4.6)	5,492,164	5,360,754	2.5
Less: Fee & commission expense	2,289,847	1,752,410	30.7	1,093,112	848,967	28.8	2,291,168	1,752,641	30.7	1,093,729	849,089	28.8
Net fee & commission income	8,703,209	9,762,824	(10.9)	4,229,014	4,363,848	(3.1)	8,996,677	10,074,081	(10.7)	4,398,435	4,511,665	(2.5)
Net (loss)/gain from trading	(2,359,118)	1,704,409	(238.4)	2,155,845	11,599	18,486.5	(2,334,482)	1,669,820	(239.8)	2,163,214	(3,100)	69,881.1
Net gain on derecognition of financial assets												
- at fair value through profit or loss	103,166	231,394	(55.4)	48,354	138,020	(65.0)	103,949	234,678	(55.7)	49,001	138,020	(64.5)
- at fair value through other comprehensive income	577,927	71,249	711.1	233,500	56,331	314.5	577,927	71,249	711.1	233,500	56,331	314.5
Net other operating income	151,320	(5,096,306)	103.0	(175,969)	(670,513)	73.8	643,711	(4,946,382)	113.0	(564)	(704,099)	99.9
Total operating income	48,320,049	40,871,604	18.2	27,181,363	19,954,516	36.2	51,393,026	42,530,354	20.8	28,685,809	20,631,016	39.0
Less: Impairment charge	6,173,748	7,227,981	(14.6)	1,801,112	306,901	486.9	6,150,404	7,200,383	(14.6)	1,744,226	382,181	356.4
Net operating income	42,146,301	33,643,623	25.3	25,380,251	19,647,615	29.2	45,242,622	35,329,971	28.1	26,941,583	20,248,835	33.1
Less: Operating expenses												
Personnel expenses	8,555,333	6,985,206	22.5	4,672,049	3,650,166	28.0	9,586,829	7,730,912	24.0	5,230,311	4,037,017	29.6
Depreciation and amortisation expenses	1,512,176	1,237,251	22.2	748,097	521,543	43.4	1,402,311	1,251,723	12.0	701,659	628,817	11.6
Other expenses	8,037,740	8,052,228	(0.2)	4,236,971	4,208,785	0.7	8,668,400	8,585,888	1.0	4,568,079	4,540,248	0.6
Total operating expenses	18,105,249	16,274,685	11.2	9,657,117	8,380,494	15.2	19,657,540	17,568,523	11.9	10,500,049	9,206,082	14.1
Operating profit before taxes on financial services	24,041,052	17,368,938	38.4	15,723,134	11,267,121	39.5	25,585,082	17,761,448	44.0	16,441,534	11,042,753	48.9
Less: Taxes on financial services												
Value added tax	4,858,494	3,641,513	33.4	3,035,026	2,223,217	36.5	5,153,825	3,802,906	35.5	3,188,412	2,296,355	38.8
Social security contribution levy	674,791	505,766	33.4	421,532	308,780	36.5	715,809	528,182	35.5	442,835	318,118	39.2
Total taxes on financial services	5,533,285	4,147,279	33.4	3,456,558	2,531,997	36.5	5,869,634	4,331,088	35.5	3,631,247	2,614,473	38.9
Profit before income tax	18,507,767	13,221,659	40.0	12,266,576	8,735,124	40.4	19,715,448	13,430,360	46.8	12,810,287	8,428,280	52.0
Less: Income tax expense	7,395,233	5,559,108	33.0	4,508,719	3,698,275	21.9	7,848,041	5,792,409	35.5	4,736,561	3,800,560	24.6
Profit for the period	11,112,534	7,662,551	45.0	7,757,857	5,036,849	54.0	11,867,407	7,637,951	55.4	8,073,726	4,627,720	74.5
Attributable to:												
Equity holders of the Bank	11,112,534	7,662,551	45.0	7,757,857	5,036,849	54.0	11,867,407	7,637,951	55.4	8,073,726	4,627,720	74.5
Non-controlling interest	-	-	-	-	-	-	-	-	-	-	-	-
	11,112,534	7,662,551	45.0	7,757,857	5,036,849	54.0	11,867,407	7,637,951	55.4	8,073,726	4,627,720	74.5
Earnings per share - Basic/Diluted (Rs)	9.48	6.53	45.0	6.62	4.30	54.0	10.12	6.51	55.4	6.88	3.95	74.5

STATEMENT OF COMPREHENSIVE INCOME

	Bank						Group					
	For the six months ended 30th June			For the quarter ended 30th June			For the six months ended 30th June			For the quarter ended 30th June		
	2024	2023	Change	2024	2023	Change	2024	2023	Change	2024	2023	Change
	(Audited) Rs 000	(Audited) Rs 000	%	(Audited) Rs 000	(Audited) Rs 000	%	(Audited) Rs 000	(Audited) Rs 000	%	(Audited) Rs 000	(Audited) Rs 000	%
Profit for the period	11,112,534	7,662,551	45.0	7,757,857	5,036,849	54.0	11,867,407	7,637,951	55.4	8,073,726	4,627,720	74.5
Other comprehensive income												
Items that will be reclassified to profit or loss:												
Debt instruments at fair value through other comprehensive income:												
Gain/(loss) arising on re-measurement	3,146,806	3,654,268	(13.9)	(1,163,954)	2,791,188	(141.7)	3,146,806	3,654,268	(13.9)	(1,163,954)	2,791,188	(141.7)
Reclassification to profit or loss due to derecognition	(577,927)	(71,249)	(711.1)	(233,500)	(56,331)	(314.5)	(577,927)	(71,249)	(711.1)	(233,500)	(56,331)	(314.5)
Changes in impairment recycled to profit or loss	(32,421)	162,680	(119.9)	(86,190)	146,297	(158.9)	(32,421)	162,680	(119.9)	(86,190)	146,297	(158.9)
Deferred tax effect on the above	(760,937)	(1,123,709)	32.3	445,094	(864,345)	151.5	(760,937)	(1,123,709)	32.3	445,094	(864,345)	151.5
Net other comprehensive income to be reclassified to profit or loss	1,775,521	2,621,990	(32.3)	(1,038,550)	2,016,809	(151.5)	1,775,521	2,621,990	(32.3)	(1,038,550)	2,016,809	(151.5)
Items that will not be reclassified to profit or loss:												
Equity instruments at fair value through other comprehensive income:												
Loss arising on re-measurement	(1,688,602)	(163,604)	(932.1)	(891,425)	(28,339)	(3,045.6)	(1,688,602)	(163,604)	(932.1)	(891,425)	(28,339)	(3,045.6)
Exchange (loss)/gain in translation	(217,291)	(719,360)	69.8	38,563	(232,805)	116.6	(217,291)	(719,360)	69.8	38,563	(232,805)	116.6
Deferred tax effect on the above	571,768	264,889	115.9	255,859	78,343	226.6	571,768	264,889	115.9	255,859	78,343	226.6
Net other comprehensive income not to be reclassified to profit or loss	(1,334,125)	(618,075)	(115.9)	(597,003)	(182,801)	(226.6)	(1,334,125)	(618,075)	(115.9)	(597,003)	(182,801)	(226.6)
Other comprehensive income net of tax	441,396	2,003,915	(78.0)	(1,635,553)	1,834,008	(189.2)	441,396	2,003,915	(78.0)	(1,635,553)	1,834,008	(189.2)
Total comprehensive income for the period net of tax	11,553,930	9,666,466	19.5	6,122,304	6,870,857	(10.9)	12,308,803	9,641,866	27.7	6,438,173	6,461,728	(0.4)
Attributable to:												
Equity holders of the Bank	11,553,930	9,666,466	19.5	6,122,304	6,870,857	(10.9)	12,308,803	9,641,866	27.7	6,438,173	6,461,728	(0.4)
Non-controlling interest	-	-	-	-	-	-	-	-	-	-	-	-
	11,553,930	9,666,466	19.5	6,122,304	6,870,857	(10.9)	12,308,803	9,641,866	27.7	6,438,173	6,461,728	(0.4)

STATEMENT OF FINANCIAL POSITION

As at	30th June 2024 (Audited) Rs 000	Bank 31st December 2023 (Audited) Rs 000	Change %	30th June 2024 Rs 000	Group 31st December 2023 (Audited) Rs 000	Change %
ASSETS						
Cash & cash equivalents	44,637,247	79,272,087	(43.7)	44,985,081	79,530,247	(43.4)
Balances with Central Bank of Sri Lanka	19,212,892	14,463,854	32.8	19,212,892	14,463,854	32.8
Placements with banks	16,220,113	33,741,322	(51.9)	16,220,113	33,741,322	(51.9)
Reverse repurchase agreements	-	-	-	1,573,245	150,400	946.0
Derivative financial instruments	563,556	587,577	(4.1)	563,556	587,577	(4.1)
Financial assets recognised through profit or loss - measured at fair value	3,493,553	4,744,188	(26.4)	3,579,681	4,841,302	(26.1)
Financial assets at amortised cost						
- loans & advances	786,862,576	756,435,559	4.0	821,943,009	787,355,719	4.4
- debt & other instruments	366,790,486	368,100,002	(0.4)	377,668,562	373,899,842	1.0
Financial assets - fair value through other comprehensive income	338,292,104	216,022,295	56.6	338,292,160	216,022,351	56.6
Investment in subsidiaries	4,190,721	4,110,642	1.9	-	-	-
Property, plant & equipment	9,900,229	9,623,120	2.9	20,443,505	19,960,610	2.4
Intangible assets	803,426	745,395	7.8	819,886	766,532	7.0
Right-of-use assets	4,122,175	3,605,525	14.3	3,546,174	3,152,666	12.5
Deferred tax assets	17,710,775	17,292,023	2.4	17,932,280	17,517,519	2.4
Other assets	27,786,534	33,204,832	(16.3)	29,227,082	35,386,047	(17.4)
Total Assets	1,640,586,387	1,541,948,421	6.4	1,696,007,226	1,587,375,988	6.8
LIABILITIES						
Due to banks	17,414,262	11,621,838	49.8	23,714,440	17,344,766	36.7
Derivative financial instruments	3,830,460	1,498,777	155.6	3,830,460	1,498,777	155.6
Securities sold under repurchase agreements	38,581,669	34,688,209	11.2	38,381,533	34,438,086	11.5
Financial liabilities at amortised cost						
- due to depositors	1,339,118,773	1,253,642,547	6.8	1,365,601,841	1,276,551,041	7.0
- due to other borrowers	6,610,474	6,637,129	(0.4)	6,610,474	6,637,129	(0.4)
- due to debt securities holders	17,212,776	26,709,893	(35.6)	24,856,903	30,386,809	(18.2)
Retirement benefit obligation	3,557,004	3,170,247	12.2	3,759,316	3,355,039	12.0
Dividend payable	313,659	212,571	47.6	313,659	212,571	47.6
Current tax liabilities	16,882,116	16,220,788	4.1	17,531,363	16,688,675	5.0
Deferred tax liabilities	-	-	-	1,465,112	1,465,112	-
Other liabilities	44,498,837	39,673,346	12.2	46,663,479	40,967,491	13.9
Total Liabilities	1,488,020,030	1,394,075,345	6.7	1,532,728,580	1,429,545,496	7.2

STATEMENT OF FINANCIAL POSITION

As at	30th June 2024 (Audited) Rs 000	Bank 31st December 2023 (Audited) Rs 000	Change %	30th June 2024 Rs 000	Group 31st December 2023 (Audited) Rs 000	Change %
EQUITY						
Stated capital	48,741,119	48,741,119	-	48,741,119	48,741,119	-
Reserves						
Statutory reserve fund	6,615,000	6,615,000	-	6,929,000	6,929,000	-
Other reserves	82,391,755	81,950,709	0.5	85,889,693	85,448,647	0.5
Retained earnings	14,818,483	10,566,248	40.2	21,718,834	16,711,726	30.0
Total equity attributable to equity holders of the Bank	152,566,357	147,873,076	3.2	163,278,646	157,830,492	3.5
Non-controlling interest				-	-	-
Total Equity	152,566,357	147,873,076	3.2	163,278,646	157,830,492	3.5
Total Liabilities & Equity	1,640,586,387	1,541,948,421	6.4	1,696,007,226	1,587,375,988	6.8
Commitments & contingencies	512,655,341	481,333,065	6.5	510,668,242	479,795,279	6.4
Net asset value per share (Rs)	130.10	126.10	3.2	139.23	134.59	3.5

Memorandum information

Number of employees	4,328	4,179
Number of branches	229	229

CERTIFICATION:

I certify that the above Financial Statements are in compliance with the requirements of the Companies Act No. 7 of 2007.

(Sgd)

Ajantha de Vas Gunasekara

Executive Director/Chief Financial Officer

We, the undersigned, being the Chairman and the Managing Director of Sampath Bank PLC, certify jointly that:

- (a) the above statements have been prepared in compliance with the format and definitions prescribed by the Central Bank of Sri Lanka; and
- (b) the information contained in these statements have been extracted from the unaudited Financial Statements of the Bank and its subsidiary companies unless indicated as audited.

(Sgd)

Harsha Amarasekera

Chairman

07th August 2024

(Sgd)

Ayodhya Iddawela Perera

Managing Director

STATEMENT OF CHANGES IN EQUITY

Bank

For the six months ended 30th June 2023 (Audited)	Stated Capital	Statutory Reserve Fund	Other Reserves			Retained Earnings	Total Equity
			Revaluation Reserve	FVOCI Reserve	General Reserve		
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2023	47,622,493	5,755,000	3,594,984	2,248,650	58,989,347	8,169,471	126,379,945
Total comprehensive income for the period							
Profit for the period	-	-	-	-	-	7,662,551	7,662,551
Other comprehensive income	-	-	-	2,003,915	-	-	2,003,915
Total comprehensive income for the period	-	-	-	2,003,915	-	7,662,551	9,666,466
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders							
Final dividend for 2022: scrip	1,118,626	-	-	-	-	(1,316,031)	(197,405)
Final dividend for 2022: cash	-	-	-	-	-	(3,948,089)	(3,948,089)
Unclaimed dividend adjustments	-	-	-	-	13,721	-	13,721
Total contributions by and distributions to equity holders	1,118,626	-	-	-	13,721	(5,264,120)	(4,131,773)
Balance as at 30th June 2023	48,741,119	5,755,000	3,594,984	4,252,565	59,003,068	10,567,902	131,914,638

For the six months ended 30th June 2024 (Audited)	Stated Capital	Statutory Reserve Fund	Other Reserves			Retained Earnings	Total Equity
			Revaluation Reserve	FVOCI Reserve	General Reserve		
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2024	48,741,119	6,615,000	3,594,984	11,344,032	67,011,693	10,566,248	147,873,076
Total comprehensive income for the period							
Profit for the period	-	-	-	-	-	11,112,534	11,112,534
Other comprehensive income	-	-	-	441,396	-	-	441,396
Total comprehensive income for the period	-	-	-	441,396	-	11,112,534	11,553,930
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders							
Final dividend for 2023: cash	-	-	-	-	-	(6,860,299)	(6,860,299)
Unclaimed dividend adjustments	-	-	-	-	(350)	-	(350)
Total contributions by and distributions to equity holders	-	-	-	-	(350)	(6,860,299)	(6,860,649)
Balance as at 30th June 2024	48,741,119	6,615,000	3,594,984	11,785,428	67,011,343	14,818,483	152,566,357

STATEMENT OF CHANGES IN EQUITY

Group

For the six months ended 30th June 2023	Stated Capital	Statutory Reserve Fund	Other Reserves			Retained Earnings	Total Equity Attributable to Equity Holders of the Bank	Non Controlling Interest	Total Equity
			Revaluation Reserve	FVOCI Reserve	General Reserve				
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2023	47,622,493	6,033,000	7,092,922	2,248,650	58,989,347	13,564,655	135,551,067	-	135,551,067
Total comprehensive income for the period									
Profit for the period	-	-	-	-	-	7,637,951	7,637,951	-	7,637,951
Other comprehensive income	-	-	-	2,003,915	-	-	2,003,915	-	2,003,915
Total comprehensive income for the period	-	-	-	2,003,915	-	7,637,951	9,641,866	-	9,641,866
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders									
Final dividend for 2022: scrip	1,118,626	-	-	-	-	(1,316,031)	(197,405)	-	(197,405)
Final dividend for 2022: cash	-	-	-	-	-	(3,948,089)	(3,948,089)	-	(3,948,089)
Unclaimed dividend adjustments	-	-	-	-	13,721	-	13,721	-	13,721
Total contributions by and distributions to equity holders	1,118,626	-	-	-	13,721	(5,264,120)	(4,131,773)	-	(4,131,773)
Balance as at 30th June 2023	48,741,119	6,033,000	7,092,922	4,252,565	59,003,068	15,938,486	141,061,160	-	141,061,160

For the six months ended 30th June 2024	Stated Capital	Statutory Reserve Fund	Other Reserves			Retained Earnings	Total Equity Attributable to Equity Holders of the Bank	Non Controlling Interest	Total Equity
			Revaluation Reserve	FVOCI Reserve	General Reserve				
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2024	48,741,119	6,929,000	7,092,922	11,344,032	67,011,693	16,711,726	157,830,492	-	157,830,492
Total comprehensive income for the period									
Profit for the period	-	-	-	-	-	11,867,407	11,867,407	-	11,867,407
Other comprehensive income	-	-	-	441,396	-	-	441,396	-	441,396
Total comprehensive income for the period	-	-	-	441,396	-	11,867,407	12,308,803	-	12,308,803
Transactions with equity holders, recognised directly in equity, contributions by and distributions to equity holders									
Final dividend for 2023: cash	-	-	-	-	-	(6,860,299)	(6,860,299)	-	(6,860,299)
Unclaimed dividend adjustments	-	-	-	-	(350)	-	(350)	-	(350)
Total contributions by and distributions to equity holders	-	-	-	-	(350)	(6,860,299)	(6,860,649)	-	(6,860,649)
Balance as at 30th June 2024	48,741,119	6,929,000	7,092,922	11,785,428	67,011,343	21,718,834	163,278,646	-	163,278,646

STATEMENT OF CASH FLOWS

For the six months ended 30th June	Bank		Group	
	2024 (Audited) Rs 000	2023 (Audited) Rs 000	2024 Rs 000	2023 Rs 000
Cash flows from operating activities				
Interest receipts	93,222,830	95,540,440	97,751,424	100,408,534
Interest payments	(63,447,640)	(55,357,239)	(66,018,919)	(57,814,889)
Net commission receipts	8,739,937	9,760,847	9,033,405	10,072,104
Cash payments to employees	(8,536,302)	(6,953,072)	(9,542,498)	(7,679,057)
Taxes on financial services	(4,197,819)	(3,715,930)	(4,532,093)	(3,896,053)
Receipts from other operating activities	774,768	567,493	1,346,804	928,532
Cash payments to other operating activities	(8,913,526)	(7,583,842)	(9,260,393)	(7,683,314)
Operating profit before changes in operating assets & liabilities	17,642,248	32,258,697	18,777,730	34,335,857
(Increase)/decrease in operating assets				
Balances with Central Bank of Sri Lanka	(4,749,038)	(2,293,290)	(4,749,038)	(2,293,290)
Financial assets at amortised cost - loans & advances	(42,520,037)	2,970,131	(46,690,140)	1,642,160
Other assets	5,736,554	(4,783,864)	6,520,151	(5,541,968)
	(41,532,521)	(4,107,023)	(44,919,027)	(6,193,098)
Increase/(decrease) in operating liabilities				
Due to banks	6,572,618	(3,130,904)	7,455,902	(2,585,871)
Re-purchase agreements	3,704,079	47,583,164	3,754,066	47,583,164
Financial liabilities at amortised cost - due to depositors	106,010,205	64,626,406	110,012,498	67,090,512
Financial liabilities at amortised cost - due to other borrowers	(30,304)	(1,767,500)	(30,304)	(1,767,500)
Other liabilities	721,873	6,837,980	1,500,814	7,587,697
	116,978,471	114,149,146	122,692,976	117,908,002
Net cash generated from operating activities before income tax	93,088,198	142,300,820	96,551,679	146,050,761
Income tax paid	(5,674,923)	(4,616,900)	(5,940,508)	(4,988,291)
Net cash generated from operating activities	87,413,275	137,683,920	90,611,171	141,062,470
Cash flows from investing activities				
Purchase of property, plant & equipment	(737,321)	(665,441)	(1,176,196)	(1,006,165)
Proceeds from disposal of property, plant & equipment	-	-	542	1,844
Net cash flow from reverse repurchase agreements	-	5,673,448	(1,422,845)	5,449,548
Net cash flow from financial assets - FVPL	1,350,387	(3,660,112)	1,386,792	(3,625,235)
Net cash flow from debt instruments at amortised cost	(1,615,704)	(50,902,727)	(6,693,940)	(52,902,694)
Net cash flow from financial assets - FVOCI	(119,922,117)	(54,257,358)	(119,922,117)	(54,257,358)
Purchase of intangible assets	(232,396)	(200,585)	(232,396)	(208,994)
Dividend received from financial assets	-	-	180	-
Net cash used in investing activities	(121,157,151)	(104,012,775)	(128,059,980)	(106,549,054)
Cash flows from financing activities				
Proceeds from the issue of debentures	-	10,000,000	4,000,000	10,000,000
Redemption of debentures	(7,000,000)	(7,500,000)	(7,000,000)	(7,500,000)
Net proceeds from securitisation	-	-	(169,151)	(1,012,012)
Dividend paid	(6,860,299)	(4,145,494)	(6,860,299)	(4,145,494)
Repayment of principal portion of lease liabilities	(725,502)	(804,108)	(468,339)	(473,132)
Net cash used in financing activities	(14,585,801)	(2,449,602)	(10,497,789)	(3,130,638)
Net cash (used)/generated during the period	(48,329,677)	31,221,543	(47,946,598)	31,382,778
Net foreign exchange difference	(3,846,542)	(10,073,563)	(3,846,542)	(10,073,563)
Cash & cash equivalents at the beginning of the year	113,001,014	90,071,931	112,814,749	89,862,724
Cash & cash equivalents at the end of the period	60,824,795	111,219,911	61,021,609	111,171,939

NOTES TO THE FINANCIAL STATEMENTS

1 Analysis of Loans and Advances and Impairment

	Bank		Group	
	30th June 2024 (Audited) Rs 000	31st December 2023 (Audited) Rs 000	30th June 2024 (Audited) Rs 000	31st December 2023 (Audited) Rs 000
As at				
1.1 Gross loans & advances	907,866,364	877,317,072	946,642,210	911,925,231
Less: Accumulated impairment under stage 1	11,376,076	12,906,592	11,424,068	12,913,484
Accumulated impairment under stage 2	22,824,750	24,962,148	23,634,030	25,746,701
Accumulated impairment under stage 3	86,802,962	83,012,773	89,641,103	85,909,327
Net loans & advances	786,862,576	756,435,559	821,943,009	787,355,719
1.2 Product-wise loans and advances				
Local currency				
Bills of exchange	193,150	182,672	193,150	182,672
Leasing	25,175,931	21,349,645	56,329,985	50,621,080
Housing loans	49,642,139	49,859,121	49,642,139	49,859,121
Export loans	4,081,180	4,990,737	4,081,180	4,990,737
Import loans	84,197,724	68,914,981	84,197,724	68,914,981
Refinance loans	4,607,489	5,556,161	4,607,489	5,556,161
Term loans	370,493,326	360,477,760	368,476,963	357,626,220
Overdraft	90,084,663	84,268,300	90,084,655	83,769,781
Staff loans	11,024,788	10,313,063	11,152,635	10,428,627
Pawning and gold loans	80,415,435	80,715,233	89,301,278	88,683,130
Credit cards	20,125,929	21,027,761	20,125,913	21,027,720
Money market loans	30,940,668	30,700,866	30,940,668	30,700,866
Factoring	1,755,898	1,831,406	1,884,630	1,985,699
Others	16,854	11,469	512,611	460,539
Sub total	772,755,174	740,199,175	811,531,020	774,807,334
Foreign currency				
Bills of exchange	1,667,910	2,111,535	1,667,910	2,111,535
Housing loans	230,080	329,343	230,080	329,343
Export loans	29,707,995	30,526,159	29,707,995	30,526,159
Import loans	9,180,676	13,584,472	9,180,676	13,584,472
Term loans	86,452,518	81,339,083	86,452,518	81,339,083
Overdraft	7,871,215	9,202,712	7,871,215	9,202,712
Others	796	24,593	796	24,593
Sub total	135,111,190	137,117,897	135,111,190	137,117,897
Total gross loans and advances	907,866,364	877,317,072	946,642,210	911,925,231

1.3 Movement of Impairment During the Period

Bank	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2024	12,906,592	24,962,148	83,012,773	120,881,513
Net (reversal)/charge for the period	(1,366,361)	(1,733,224)	6,773,509	3,673,924
Write-off during the period	-	-	(424,204)	(424,204)
Interest income accrued on impaired loans & advances	-	-	(2,744,009)	(2,744,009)
Other movements including exchange differences	(164,155)	(404,174)	184,893	(383,436)
Balance as at 30th June 2024	11,376,076	22,824,750	86,802,962	121,003,788

Group	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2024	12,913,484	25,746,701	85,909,327	124,569,512
Net (reversal)/charge for the period	(1,325,261)	(1,708,497)	6,715,456	3,681,698
Write-off during the period	-	-	(424,204)	(424,204)
Interest income accrued on impaired loans & advances	-	-	(2,744,406)	(2,744,406)
Other movements including exchange differences	(164,155)	(404,174)	184,930	(383,399)
Balance as at 30th June 2024	11,424,068	23,634,030	89,641,103	124,699,201

NOTES TO THE FINANCIAL STATEMENTS

2 Analysis of Commitments and Contingencies and Impairment

	Bank		Group	
	30th June 2024 (Audited) Rs 000	31st December 2023 (Audited) Rs 000	30th June 2024 (Audited) Rs 000	31st December 2023 (Audited) Rs 000
As at				
2.1 Gross commitments and contingencies	517,322,370	484,568,563	515,315,208	483,014,792
Less: Accumulated impairment under stage 1	2,431,991	2,507,806	2,411,928	2,491,821
Accumulated impairment under stage 2	1,513,435	701,999	1,513,435	701,999
Accumulated impairment under stage 3	721,603	25,693	721,603	25,693
Net commitments and contingencies	512,655,341	481,333,065	510,668,242	479,795,279
2.2 Product-wise commitments and contingencies				
Local currency				
Credit related commitments & contingencies				
Undrawn - direct credit facilities	122,440,363	116,854,253	119,935,355	115,140,510
Undrawn - indirect credit facilities	107,458,363	65,688,629	107,458,363	65,688,629
Acceptances	217,851	26,325	217,851	26,325
Documentary credit	1,483,857	1,003,478	1,483,857	1,003,478
Guarantees	39,399,585	31,886,127	39,400,585	31,889,127
	271,000,019	215,458,812	268,496,011	213,748,069
Other commitments & contingencies				
Capital commitments	1,304,985	632,692	1,801,831	789,664
Operating lease commitments	104,880	84,450	104,880	84,450
Forward exchange contracts	8,239,927	5,288,272	8,239,927	5,288,272
Currency SWAPs	90,368,067	107,447,795	90,368,067	107,447,795
	100,017,859	113,453,209	100,514,705	113,610,181
Sub total	371,017,878	328,912,021	369,010,716	327,358,250
Foreign currency				
Credit related commitments & contingencies				
Undrawn - direct credit facilities	37,585,802	38,693,848	37,585,802	38,693,848
Undrawn - indirect credit facilities	8,543,420	3,214,738	8,543,420	3,214,738
Acceptances	11,568,199	10,642,621	11,568,199	10,642,621
Documentary credit	35,956,521	27,338,763	35,956,521	27,338,763
Guarantees	5,649,496	3,605,317	5,649,496	3,605,317
	99,303,438	83,495,287	99,303,438	83,495,287
Other commitments & contingencies				
Capital commitments	281,512	300,712	281,512	300,712
Forward exchange contracts	12,602,912	23,146,684	12,602,912	23,146,684
Currency SWAPs	34,116,630	48,713,859	34,116,630	48,713,859
	47,001,054	72,161,255	47,001,054	72,161,255
Sub total	146,304,492	155,656,542	146,304,492	155,656,542
Total gross commitments and contingencies	517,322,370	484,568,563	515,315,208	483,014,792

2.3 Movement of Impairment During the Period

Bank	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2024	2,507,806	701,999	25,693	3,235,498
Net (reversal)/charge for the period	(45,610)	827,872	691,468	1,473,730
Other movements including exchange differences	(30,205)	(16,436)	4,442	(42,199)
Balance as at 30th June 2024	2,431,991	1,513,435	721,603	4,667,029

Group	Stage 1 Rs 000	Stage 2 Rs 000	Stage 3 Rs 000	Total Rs 000
Balance as at 1st January 2024	2,491,821	701,999	25,693	3,219,513
Net (reversal)/charge for the period	(49,688)	827,872	691,468	1,469,652
Other movements including exchange differences	(30,205)	(16,436)	4,442	(42,199)
Balance as at 30th June 2024	2,411,928	1,513,435	721,603	4,646,966

NOTES TO THE FINANCIAL STATEMENTS

3 Analysis of Deposits

	Bank		Group	
As at	30th June 2024 (Audited) Rs 000	31st December 2023 (Audited) Rs 000	30th June 2024 (Audited) Rs 000	31st December 2023 (Audited) Rs 000
Local Currency Deposits				
Demand deposits	59,504,148	59,048,988	59,473,932	59,008,095
Saving deposits	327,932,166	272,907,275	327,952,085	272,917,719
Call deposits	3,472	3,743	3,472	3,743
Fixed deposits	754,647,368	698,430,507	781,140,733	721,369,450
Certificates of deposits	5,635,228	5,391,335	5,635,228	5,391,335
Margin deposits	3,533,224	1,121,567	3,533,224	1,121,567
Total local currency deposits	1,151,255,606	1,036,903,415	1,177,738,674	1,059,811,909
Foreign Currency Deposits				
Demand deposits	9,929,631	9,130,948	9,929,631	9,130,948
Saving deposits	50,460,949	80,753,895	50,460,949	80,753,895
Fixed deposits	127,337,334	126,656,250	127,337,334	126,656,250
Margin deposits	135,253	198,039	135,253	198,039
Total foreign currency deposits	187,863,167	216,739,132	187,863,167	216,739,132
Total deposits	1,339,118,773	1,253,642,547	1,365,601,841	1,276,551,041

1. There are no changes to the accounting policies and methods of computation since the publication of the annual accounts for the year 2023.
2. The Group Financial Statements comprise a consolidation of the Bank and its fully owned subsidiaries, Sampath Centre Ltd, SC Securities (Pvt) Ltd, Siyapatha Finance PLC and Sampath Information Technology Solutions Ltd.
3. There are no material changes during the period in the composition of assets, liabilities and contingent liabilities. All known expenditure items have been provided for.
4. These interim Financial Statements are presented in accordance with Sri Lanka Accounting Standard - LKAS 34 (Interim Financial Reporting) and provide the information as required in terms of Rule 7.4 of the Colombo Stock Exchange.
5. The Bank's External Auditors, Messrs. Ernst & Young carried out an audit for the period ended 30th June 2024 and expressed an unqualified opinion on the Financial Statements of the Bank.

6. Market Price of a Share	2024 (Rs)	2023 (Rs)
Market Price as at 30th June	78.30	55.90
Highest Market Price during the quarter ended 30th June	82.70	57.50
Lowest Market Price during the quarter ended 30th June	75.20	44.10
Weighted Average Market Price during the quarter ended 30th June	79.15	50.81

Quoted shares and debentures of the Bank are only traded in Sri Lankan Rupees

7. Impairment of financial assets

Loans and advances

The Bank conducted a comprehensive assessment of its individually significant customers (ISL) as of 30th June 2024, and recognised adequate provisions in its Financial Statements, considering the distinct risk profiles associated with each of these customers. The fundamental impairment models used for collective impairment in 2023 remained unchanged, providing adequate buffers to mitigate potential future credit risks. Furthermore, the Bank continued to carry forward the allowance for overlays applied in 2023, on account of customer segments still exhibiting increased credit risk.

Other financial assets

During the period, the Bank recorded a net impairment charge on other financial instruments, largely attributable to an additional provision recognised on Sri Lanka International Sovereign Bonds (SLISB). Despite the government's announcement regarding the updated terms for restructured SLISBs, the Bank has continued to maintain the same loss rate, as it adequately covers all anticipated losses and contingencies.

8. Events after the reporting period

There are no material events that took place after the reporting date which require adjustment to or disclosure in the Financial Statements.

9. Utilisation of funds raised via capital markets

The funds raised via capital markets in the previous years were fully utilised for the objectives stated in the relevant prospectuses.

10. Reclassification of Debt Portfolio in 2022

In 2022, the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) issued a "Statement of Alternative Treatment (SoAT) on Reclassification of Debt portfolio" which provided a one-off option to the entities to reclassify their debt portfolios measured at Fair Value through Other Comprehensive Income (FVOCI) to Amortised Cost (AC). This SoAT was issued considering the unprecedented macro-economic conditions prevailed during the year 2022. Applying this SoAT, the Bank reclassified its FVOCI treasury bond portfolio with effect from 1st April 2022 to AC.

Amortised cost of the treasury bonds reclassified from FVOCI and outstanding as at 30th June 2024 amounted to Rs 1,378.2 Mn. Had these treasury bonds continued at FVOCI, the fair value and the cumulative mark to market loss as at 30th June 2024 would have been Rs 1,360.0 Mn and Rs 18.2 Mn respectively.

SAMPATH BANK PLC (ORDINARY SHARES)
TOP 20 SHAREHOLDERS AS AT 30TH JUNE 2024

Name of the Shareholder	No. of shares	% holding
1 Vallibel One PLC	175,352,762	14.95
2 Phantom Investments (Pvt) Limited	117,270,076	10.00
3 Employees' Provident Fund	116,948,697	9.97
4 Mr Y S H I Silva	112,955,684	9.63
5 Ayenka Holdings Private Limited	97,098,834	8.28
6 Rosewood (Pvt) Limited	56,320,454	4.80
7 Akbar Brothers Pvt Ltd A/C No.1	28,404,771	2.42
8 Employees' Trust Fund Board	19,804,469	1.69
9 Sampath Bank PLC Account No. 4 (Sampath Bank Pension Fund)	11,832,461	1.01
10 Senthilverl Holdings (Pvt) Ltd	11,828,588	1.01
11 Mrs P D A S Beruwalage	11,555,469	0.99
12 Mr W Jinadasa	10,579,285	0.90
13 BBH - Tundra Sustainable Frontier Fund	9,837,629	0.84
14 Citibank Newyork S/A Norges Bank Account 2	9,709,834	0.83
15 SSBT - AL Mehwar Commercial Investments L.L.C.	6,877,041	0.59
16 Magna Wealth (Pvt) Ltd	6,514,850	0.56
17 Mr B A Mahipala (Deceased)	4,756,704	0.41
18 Auerbach Grayson and Company LLC	4,662,967	0.40
19 Hatton National Bank PLC - Capital Alliance Quantitative Equity Fund	4,525,494	0.39
20 Mr L P Mendis	4,110,585	0.35
	820,946,654	70.02
Shares held by Directors	675,639	0.06
Balance held by other shareholders	351,078,467	29.92
Total	1,172,700,760	100.00

As at	30th June 2024
Number of public shareholders	29,467
Percentage of public holding	98.8%
Float adjusted market capitalization	Rs 91 Bn

The Bank complies with the minimum public holding requirement under option 1 of Listing Rules Section 7.13.1 (i) (a).

Directors' Holding in Shares of Sampath Bank PLC

Director's Name	No. of shares held	
	As at 30th June 2024	As at 31st December 2023
1 Mr Harsha Amarasekera	-	-
2 Mr Rushanka Silva	-	-
3 Mr D K de Silva Wijeyeratne	-	-
4 Ms A Nanayakkara	-	-
5 Mr Vajira Kulatilaka	-	-
6 Ms R K Jayawardena	-	-
7 Mr Vinod Hirdaramani	668,087	288,087
8 Mr Hiran Cabraal	-	-
9 Mr Roger Keith Modder (appointed w.e.f. 02nd April 2024)	6,941	Not applicable
10 Ms Ayodhya Iddawela Perera (Managing Director)	611	611
11 Mr D A de Vas Gunasekara (Chief Financial Officer)	-	-

Segment Information - Group

For the six months ended 30th June	Corporate Banking		Retail & Personal Banking		Dealing/Investment		Others		(Eliminations)/Unallocated		Total	
	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Net interest income	7,927,413	19,546,788	21,075,443	28,038,955	19,883,582	8,749,350	-	-	(5,481,194)	(20,908,185)	43,405,244	35,426,908
Net fee & commission income	2,303,971	2,725,862	6,573,815	7,219,899	118,891	128,320	-	-	-	-	8,996,677	10,074,081
Net (loss)/gain from trading	-	-	-	-	(2,334,482)	1,669,820	-	-	-	-	(2,334,482)	1,669,820
Net gain on derecognition of financial assets	-	-	-	-	681,876	305,927	-	-	-	-	681,876	305,927
Net other operating income	6,962	116,559	1,168,229	793,556	2,091,561	2,018,640	48,086	120,685	(2,671,127)	(7,995,822)	643,711	(4,946,382)
Total revenue from external customers	10,238,346	22,389,209	28,817,487	36,052,410	20,441,428	12,872,057	48,086	120,685	(8,152,321)	(28,904,007)	51,393,026	42,530,354
Inter segment (expense)/income	(210,697)	(578,516)	222,079	619,157	-	-	541,078	416,803	(552,460)	(457,444)	-	-
Total operating income	10,027,649	21,810,693	29,039,566	36,671,567	20,441,428	12,872,057	589,164	537,488	(8,704,781)	(29,361,451)	51,393,026	42,530,354
Less: Impairment charge	4,790,490	4,501,750	357,896	4,129,083	997,772	(1,422,705)	(4,536)	(5,599)	8,782	(2,146)	6,150,404	7,200,383
Net operating income	5,237,159	17,308,943	28,681,670	32,542,484	19,443,656	14,294,762	593,700	543,087	(8,713,563)	(29,359,305)	45,242,622	35,329,971
Less: Total operating expenses	341,612	281,343	10,716,052	9,777,503	326,123	235,408	303,711	285,064	7,970,042	6,989,205	19,657,540	17,568,523
Segment result	4,895,547	17,027,600	17,965,618	22,764,981	19,117,533	14,059,354	289,989	258,023	(16,683,605)	(36,348,510)	25,585,082	17,761,448
Less: Taxes on financial services											5,869,634	4,331,088
Less: Income tax expense											7,848,041	5,792,409
Profit for the period											11,867,407	7,637,951
Non controlling interest											-	-
Profit attributable to equity holders of the Bank											11,867,407	7,637,951
As at 30th June	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Segment assets	386,127,554	403,034,511	495,860,326	487,659,747	738,828,942	469,180,223	9,430,227	8,989,338	(11,482,221)	(12,918,826)	1,618,764,828	1,355,944,993
Unallocated assets	-	-	-	-	-	-	-	-	77,242,398	111,573,498	77,242,398	111,573,498
Total assets	386,127,554	403,034,511	495,860,326	487,659,747	738,828,942	469,180,223	9,430,227	8,989,338	65,760,177	98,654,672	1,696,007,226	1,467,518,491
Segment liabilities	37,729,594	30,205,363	1,356,246,900	1,149,357,302	50,698,549	57,503,000	3,332,848	3,287,180	(7,639,038)	(8,810,514)	1,440,368,853	1,231,542,331
Unallocated liabilities	-	-	-	-	-	-	-	-	92,359,727	94,915,000	92,359,727	94,915,000
Total liabilities	37,729,594	30,205,363	1,356,246,900	1,149,357,302	50,698,549	57,503,000	3,332,848	3,287,180	84,720,689	86,104,486	1,532,728,580	1,326,457,331
For the six months ended 30th June	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Cash flows from operating activities	(13,663,161)	16,939,470	103,036,384	124,723,801	942,344	(92,010)	290,172	368,630	5,432	(877,421)	90,611,171	141,062,470
Cash flows from investing activities	-	-	-	-	(120,168,193)	(103,156,199)	(227,306)	(366,421)	(7,664,481)	(3,026,434)	(128,059,980)	(106,549,054)
Cash flows from financing activities	-	-	4,484,176	(545,444)	-	-	(50,087)	128,375	(14,931,878)	(2,713,569)	(10,497,789)	(3,130,638)
Capital expenditure	-	-	(84,031)	(28,261)	-	-	(210,252)	(219,043)	(1,114,309)	(967,855)	(1,408,592)	(1,215,159)

ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Bank - As at 30th June 2024 (Audited)

Financial Assets	Fair value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Cash & cash equivalents	-	44,637,247	-	44,637,247
Balances with Central Bank of Sri Lanka	-	19,212,892	-	19,212,892
Placements with banks	-	16,220,113	-	16,220,113
Derivative financial instruments	563,556	-	-	563,556
Financial assets recognised through profit or loss - measured at fair value	3,493,553	-	-	3,493,553
Financial assets at amortised cost				
- loans & advances	-	786,862,576	-	786,862,576
- debt & other instruments	-	366,790,486	-	366,790,486
Financial assets - fair value through other comprehensive income	-	-	338,292,104	338,292,104
Other assets	-	22,001,910	-	22,001,910
Total Financial Assets	4,057,109	1,255,725,224	338,292,104	1,598,074,437

Financial Liabilities	Fair value through Profit or Loss	Amortised Cost	Total
	Rs 000	Rs 000	Rs 000
Due to banks	-	17,414,262	17,414,262
Derivative financial instruments	3,830,460	-	3,830,460
Securities sold under repurchase agreements	-	38,581,669	38,581,669
Financial liabilities at amortised cost			
- due to depositors	-	1,339,118,773	1,339,118,773
- due to other borrowers	-	6,610,474	6,610,474
- due to debt securities holders	-	17,212,776	17,212,776
Dividend payable	-	313,659	313,659
Other liabilities	-	36,018,100	36,018,100
Total Financial Liabilities	3,830,460	1,455,269,713	1,459,100,173

Bank - As at 31st December 2023 (Audited)

Financial Assets	Fair value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Cash & cash equivalents	-	79,272,087	-	79,272,087
Balances with Central Bank of Sri Lanka	-	14,463,854	-	14,463,854
Placements with banks	-	33,741,322	-	33,741,322
Derivative financial instruments	587,577	-	-	587,577
Financial assets recognised through profit or loss - measured at fair value	4,744,188	-	-	4,744,188
Financial assets at amortised cost				
- loans & advances	-	756,435,559	-	756,435,559
- debt & other instruments	-	368,100,002	-	368,100,002
Financial assets - fair value through other comprehensive income	-	-	216,022,295	216,022,295
Other assets	-	27,778,625	-	27,778,625
Total Financial Assets	5,331,765	1,279,791,449	216,022,295	1,501,145,509

Financial Liabilities	Fair value through Profit or Loss	Amortised Cost	Total
	Rs 000	Rs 000	Rs 000
Due to banks	-	11,621,838	11,621,838
Derivative financial instruments	1,498,777	-	1,498,777
Securities sold under repurchase agreements	-	34,688,209	34,688,209
Financial liabilities at amortised cost			
- due to depositors	-	1,253,642,547	1,253,642,547
- due to other borrowers	-	6,637,129	6,637,129
- due to debt securities holders	-	26,709,893	26,709,893
Dividend payable	-	212,571	212,571
Other liabilities	-	32,953,593	32,953,593
Total Financial Liabilities	1,498,777	1,366,465,780	1,367,964,557

ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Group - As at 30th June 2024

Financial Assets	Fair value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Cash & cash equivalents	-	44,985,081	-	44,985,081
Balances with Central Bank of Sri Lanka	-	19,212,892	-	19,212,892
Placements with banks	-	16,220,113	-	16,220,113
Reverse repurchase agreements	-	1,573,245	-	1,573,245
Derivative financial instruments	563,556	-	-	563,556
Financial assets recognised through profit or loss - measured at fair value	3,579,681	-	-	3,579,681
Financial assets at amortised cost				
- loans & advances	-	821,943,009	-	821,943,009
- debt & other instruments	-	377,668,562	-	377,668,562
Financial assets - fair value through other comprehensive income	-	-	338,292,160	338,292,160
Other assets	-	22,958,178	-	22,958,178
Total Financial Assets	4,143,237	1,304,561,080	338,292,160	1,646,996,477

Financial Liabilities	Fair value through Profit or Loss	Amortised Cost	Total
	Rs 000	Rs 000	Rs 000
Due to banks	-	23,714,440	23,714,440
Derivative financial instruments	3,830,460	-	3,830,460
Securities sold under repurchase agreements	-	38,381,533	38,381,533
Financial liabilities at amortised cost			
- due to depositors	-	1,365,601,841	1,365,601,841
- due to other borrowers	-	6,610,474	6,610,474
- due to debt securities holders	-	24,856,903	24,856,903
Dividend payable	-	313,659	313,659
Other liabilities	-	36,972,353	36,972,353
Total Financial Liabilities	3,830,460	1,496,451,203	1,500,281,663

Group - As at 31st December 2023 (Audited)

Financial Assets	Fair value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total
	Rs 000	Rs 000	Rs 000	Rs 000
Cash & cash equivalents	-	79,530,247	-	79,530,247
Balances with Central Bank of Sri Lanka	-	14,463,854	-	14,463,854
Placements with banks	-	33,741,322	-	33,741,322
Reverse repurchase agreements	-	150,400	-	150,400
Derivative financial instruments	587,577	-	-	587,577
Financial assets recognised through profit or loss - measured at fair value	4,841,302	-	-	4,841,302
Financial assets at amortised cost				
- loans & advances	-	787,355,719	-	787,355,719
- debt & other instruments	-	373,899,842	-	373,899,842
Financial assets - fair value through other comprehensive income	-	-	216,022,351	216,022,351
Other assets	-	29,462,947	-	29,462,947
Total Financial Assets	5,428,879	1,318,604,331	216,022,351	1,540,055,561

Financial Liabilities	Fair value through Profit or Loss	Amortised Cost	Total
	Rs 000	Rs 000	Rs 000
Due to banks	-	17,344,766	17,344,766
Derivative financial instruments	1,498,777	-	1,498,777
Securities sold under repurchase agreements	-	34,438,086	34,438,086
Financial liabilities at amortised cost			
- due to depositors	-	1,276,551,041	1,276,551,041
- due to other borrowers	-	6,637,129	6,637,129
- due to debt securities holders	-	30,386,809	30,386,809
Dividend payable	-	212,571	212,571
Other liabilities	-	33,316,061	33,316,061
Total Financial Liabilities	1,498,777	1,398,886,463	1,400,385,240

FAIR VALUE OF FINANCIAL INSTRUMENTS

All financial assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, as described below.

(a) Level 1 – Quoted market price (unadjusted)

When available, the Bank measures the fair value of financial instruments using quoted market prices in an active market. Accordingly, quoted equity securities have been valued using quoted market prices as at the reporting date, while the fair values of treasury bills and bonds have been derived using the published yield curves.

(b) Level 2 – Valuation technique using observable inputs

If a market for a financial instrument is not active, then the Bank measures fair value of such instruments using quoted prices for similar assets and liabilities in active markets or quoted prices for identical/similar assets and liabilities in inactive markets or using models where all significant inputs are observable. The Bank has used the spot and forward premiums available as at the reporting date to estimate the fair value of derivative financial instruments. Fair values of financial assets and financial liabilities carried at amortised cost have been estimated by comparing the interest rates when they were first recognised with the current market rates of similar instruments.

(c) Level 3 – Valuation technique with significant unobservable inputs

Assets and liabilities valued using valuation techniques where one or more significant inputs are unobservable.

There are no material changes in the fair value of financial assets categorised under Level 3, compared to the values reported as at 31st December 2023. The Bank has not changed the valuation models and assumptions used to measure the fair values of Level 3 financial instruments during the period ended 30th June 2024.

Financial Assets & Liabilities Measured at Fair Value - Fair Value Hierarchy

Bank

Date of Valuation	As at 30th June 2024 (Audited)				As at 31st December 2023 (Audited)			
	Fair Value Measurement Using			Total	Fair Value Measurement Using			Total
	Quoted Prices	Significant	Significant		Quoted Prices	Significant	Significant	
	in Active Markets (Level 1) Rs 000	Observable Inputs (Level 2) Rs 000	Unobservable Inputs (Level 3) Rs 000		in Active Markets (Level 1) Rs 000	Observable Inputs (Level 2) Rs 000	Unobservable Inputs (Level 3) Rs 000	
Financial assets measured at fair value								
Derivative financial instruments	-	563,556	-	563,556	-	587,577	-	587,577
Financial assets - fair value through profit or loss	3,493,553	-	-	3,493,553	4,744,188	-	-	4,744,188
Financial assets - fair value through other comprehensive income	336,909,079	1,179,186	203,839	338,292,104	211,004,648	4,957,076	60,571	216,022,295
Total financial assets measured at fair value	340,402,632	1,742,742	203,839	342,349,213	215,748,836	5,544,653	60,571	221,354,060
Financial liabilities measured at fair value								
Derivative financial instruments	-	3,830,460	-	3,830,460	-	1,498,777	-	1,498,777
Total financial liabilities measured at fair value	-	3,830,460	-	3,830,460	-	1,498,777	-	1,498,777

Group

Date of Valuation	As at 30th June 2024				As at 31st December 2023 (Audited)			
	Fair Value Measurement Using			Total	Fair Value Measurement Using			Total
	Quoted Prices	Significant	Significant		Quoted Prices	Significant	Significant	
	in Active Markets (Level 1) Rs 000	Observable Inputs (Level 2) Rs 000	Unobservable Inputs (Level 3) Rs 000		in Active Markets (Level 1) Rs 000	Observable Inputs (Level 2) Rs 000	Unobservable Inputs (Level 3) Rs 000	
Financial assets measured at fair value								
Derivative financial instruments	-	563,556	-	563,556	-	587,577	-	587,577
Financial assets - fair value through profit or loss	3,579,681	-	-	3,579,681	4,841,302	-	-	4,841,302
Financial assets - fair value through other comprehensive income	336,909,079	1,179,186	203,895	338,292,160	211,004,648	4,957,076	60,627	216,022,351
Total financial assets measured at fair value	340,488,760	1,742,742	203,895	342,435,397	215,845,950	5,544,653	60,627	221,451,230
Financial liabilities measured at fair value								
Derivative financial instruments	-	3,830,460	-	3,830,460	-	1,498,777	-	1,498,777
Total financial liabilities measured at fair value	-	3,830,460	-	3,830,460	-	1,498,777	-	1,498,777

The regulatory floor price imposed on the shares of LankaBangla Finance PLC was lifted in January 2024. Since then, the shares have been actively traded in the Dhaka Stock Exchange. Accordingly, the investment in LankaBangla Finance PLC was transferred from Level 2 to Level 1 as at 30th June 2024.

FAIR VALUE OF FINANCIAL INSTRUMENTS (Contd....)

Fair Value of Financial Assets and Liabilities Carried at Amortised Cost

Bank

Date of Valuation	As at 30th June 2024 (Audited)					As at 31st December 2023 (Audited)				
	Fair Value				Carrying Value Rs 000	Fair Value				Carrying Value Rs 000
	Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000		Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000	
Financial Assets										
Financial assets at amortised cost										
loans & advances	-	787,824,015	-	787,824,015	786,862,576	-	756,414,366	-	756,414,366	756,435,559
debt & other instruments	322,347,403	47,256,567	-	369,603,970	366,790,486	316,477,987	48,582,784	-	365,060,771	368,100,002
	322,347,403	835,080,582	-	1,157,427,985	1,153,653,062	316,477,987	804,997,150	-	1,121,475,137	1,124,535,561
Financial Liabilities										
Financial liabilities at amortised cost										
due to banks	-	17,414,262	-	17,414,262	17,414,262	-	11,621,838	-	11,621,838	11,621,838
due to depositors - fixed & certificate of deposits	-	896,075,687	-	896,075,687	887,619,930	-	838,327,706	-	838,327,706	830,478,092
due to debt securities holders	-	21,413,802	-	21,413,802	17,212,776	-	29,764,020	-	29,764,020	26,709,893
	-	934,903,751	-	934,903,751	922,246,968	-	879,713,564	-	879,713,564	868,809,823

Group

Date of Valuation	As at 30th June 2024					As at 31st December 2023 (Audited)				
	Fair Value				Carrying Value Rs 000	Fair Value				Carrying Value Rs 000
	Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000		Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000	
Financial Assets										
Financial assets at amortised cost										
loans & advances	-	827,241,597	-	827,241,597	821,943,009	-	791,028,334	-	791,028,334	787,355,719
debt & other instruments	333,225,479	47,256,567	-	380,482,046	377,668,562	322,277,827	48,582,784	-	370,860,611	373,899,842
	333,225,479	874,498,164	-	1,207,723,643	1,199,611,571	322,277,827	839,611,118	-	1,161,888,945	1,161,255,561
Financial Liabilities										
Financial liabilities at amortised cost										
due to banks	-	23,855,369	-	23,855,369	23,714,440	-	17,337,165	-	17,337,165	17,344,766
due to depositors - fixed & certificate of deposits	-	924,080,205	-	924,080,205	914,113,295	-	861,671,761	-	861,671,761	853,417,035
due to debt securities holders	-	28,967,129	-	28,967,129	24,856,903	-	33,281,286	-	33,281,286	30,386,809
	-	976,902,703	-	976,902,703	962,684,638	-	912,290,212	-	912,290,212	901,148,610

Treasury bonds acquired in settlement of SLDBs under the Domestic Debt Optimisation Program (DDO) in 2023 have been classified under level 2 since there is no active market for them.

The following table lists those financial instruments for which their carrying amounts are a reasonable approximation of fair values because, for example, they are short term in nature or re-priced to current market rates frequently.

Assets	Liabilities
Cash & cash equivalents	Securities sold under repurchase agreements
Balances with Central Bank of Sri Lanka	Savings, demand, call & margin deposits
Placements with banks	Due to other borrowers
Reverse repurchase agreements	Dividend payable
Other financial assets	Other financial liabilities

DEBENTURE INFORMATION

(a) Market Values

Debentures - 2021/2028	Highest (Rs)		Lowest (Rs)		Quarter End (Rs)	
	2024	2023	2024	2023	2024	2023
Fixed - 9.00%	N/T	N/T	N/T	N/T	N/T	N/T

Debentures - 2023/2028	Highest (Rs)		Lowest (Rs)		Quarter End (Rs)	
	2024	2023	2024	2023	2024	2023
Fixed - 28.00%	141.00	100.00	141.00	99.15	141.00	99.15
Floating rate	N/T	N/T	N/T	N/T	N/T	N/T

N/T - Not Traded

(b) Interest Rates

Debentures - 2021/2028	2024		2023	
	Coupon rate	Effective rate	Coupon rate	Effective rate
Fixed - 9.00%	9.00%	9.00%	9.00%	9.00%

Debentures - 2023/2028	2024		2023	
	Coupon rate	Effective rate	Coupon rate	Effective rate
Fixed - 28.00%	28.00%	28.00%	28.00%	28.00%
Floating rate	Note 01			

Note 01

Debentures - 2023/2028

Floating rate is equivalent to the one year gross treasury bill rate plus 1.5%, subject to a floor of 20.0% & a cap of 31.0% p.a. payable annually.

(c) Interest Rates of Comparable Government Securities

	2024	2023
3 Month Treasury Bill	10.07%	23.00%
6 Month Treasury Bill	10.19%	19.49%
5 Year Treasury Bond	11.65%	22.16%
7 Year Treasury Bond	12.25%	20.66%

(d) Current Yield & Yield to Maturity

Debentures - 2021/2028	Fixed 9.00%	
	2024	2023
Current yield	N/T	N/T
Yield to maturity of last trade	N/T	N/T

Debentures - 2023/2028	Fixed 28.00%		Floating	
	2024	2023	2024	2023
Current yield	19.86%	28.24%	N/T	N/T
Yield to maturity of last trade	13.45%	28.07%	N/T	N/T

N/T - Not Traded

Note 02

Debentures - 2019/2024

The Bank has redeemed the debentures issued in 2019 amounting to Rs 7.0 Bn on 28th February 2024.

(e) Ratios - Bank

	30.06.2024	31.12.2023
Debt to Equity Ratio (%)	10.5	15.6
Interest Cover (Times)	14.2	9.7
Quick Asset Ratio (%) (as per CBSL Return)	77.1	71.7

SELECTED PERFORMANCE INDICATORS (AS PER REGULATORY REPORTING)

Item	As at 30th June 2024	As at 31st December 2023	As at 30th June 2024	As at 31st December 2023
	Bank		Group	
Regulatory Capital (Rs 000)				
Common Equity Tier 1 Capital	123,409,835	118,530,902	132,918,027	128,072,822
Tier 1 Capital	123,409,835	118,530,902	132,918,027	128,072,822
Total Capital	145,060,709	141,853,666	155,052,531	151,849,708
Regulatory Capital Ratios (%)				
Common Equity Tier 1 Capital Ratio (Minimum Requirement - 7.0%)	16.98	16.35	17.21	16.67
Tier 1 Capital Ratio (Minimum Requirement - 8.5%)	16.98	16.35	17.21	16.67
Total Capital Ratio (Minimum Requirement - 12.5%)	19.96	19.56	20.08	19.77
Leverage Ratio % (Minimum Requirement - 3%)	6.46	6.39	6.76	6.73

	As at 30th June 2024	As at 31st December 2023
	Bank	
Assets Quality (Quality of Loan Portfolio)		
Impaired Loans (Stage 3) Ratio %	5.70	5.87
Impairment (Stage 3) to Stage 3 Loans Ratio (%)	58.77	57.80
Profitability		
Interest Margin, %	5.18	5.16
Return on Assets (Before Tax), %	2.32	2.12
Return on Equity (After Tax), %	14.90	12.65
Regulatory Liquidity		
Statutory Liquid Assets (Rs 000)*	N/A	635,737,884
Statutory Liquid Assets Ratio (Minimum Requirement - 20%)*	N/A	47.76
Total Stock of High-Quality Liquid Assets (Rs 000)	678,409,767	566,567,931
Liquidity Coverage Ratio (%) - Rupee (Minimum Requirement - 100%)	329.07	453.16
Liquidity Coverage Ratio (%) - All Currency (Minimum Requirement - 100%)	299.48	312.47
Net Stable Funding Ratio (%) (Minimum Requirement - 100%)	195.48	184.20

N/A - Not Applicable

*Effective 15th June 2024, CBSL has discontinued the requirement to maintain the Statutory Liquid Assets Ratio.